adds that the ‘sole driver’ for Ratan to introduce the retirement policy was to ensure that the ‘younger leadership could be at the helm of companies’.

Ratan’s thinking on the retirement policy, in his own telling, was significantly influenced by Jean Riboud, the former CEO and chairman of Schlumberger. He revealed that Riboud and he had discussed the compelling need for all large organizations to have a retirement policy. Riboud had commented that no one will tell you that ‘you’re not fit to lead’. This made Ratan realize that ‘it’s better to have a policy that defines when you will retire’. Ratan also adopted the policy of job rotation of employees that Riboud had successfully implemented in Schlumberger.

Ratan discussed the need for a retirement policy with JRD and other senior colleagues who supported him. The plan was to fix the retirement age of the executive chairman, vice chairman, MD, joint managing directors and other whole-time directors at sixty-five years. Non-executive chairmen, deputy chairmen and vice chairmen could continue until they reached the age of seventy-five. To implement the programme, Ratan circulated a new retirement policy titled ‘Tata policy’ vide a note dated 25 March 1992 to the board members of Tata Sons.

The Tata Sons board, which met the next day, unanimously approved the proposal and recommended its adoption in all the Tata companies. The minutes of the meeting noted that the Tata companies ‘did follow a policy regarding the retirement age of whole-time Directors but unfortunately, over the past several years, this policy has not been followed in most companies’.

While adopting the retirement policy, Ratan simultaneously emphasized the need to provide the retirees liberal benefits. Explaining the rationale behind this, he stated: ‘It would also be necessary to review the retirement benefits for such Directors as well as the Chairman and Directors of Tata Sons, in order to ensure their ability to maintain their standards of living and other facilities.’ J.J. Irani, who lived in a sprawling, well-appointed bungalow in Jamshedpur maintained by Tata Steel, said that it was only Ratan who made it possible for him to lead such a dignified life even after retirement.

Within a fortnight of the board approving the proposal, Ratan wrote to the chairmen of the companies, telling them that he would ‘appreciate’ it if he were informed how the chairmen and the boards under their control ‘propose to implement’ the policy.